

Investigation Report (Simplified): Tracing and Identifying On-Chain Criminal Activities (Saltpay - Ren)

Introduction:

The recent surge in **declined transactions linked to a specific IBAN number** prompted our investigative team, comprising **finance, legal, and blockchain experts**, to delve deeper into potential activities conducted through cryptocurrency channels. Our proprietary technology, which seamlessly integrates crypto functionalities with traditional banking features like spending, topping up, and trading, flagged this account for unusual activities. This initial cue led us to a broader inquiry, revealing connections to crypto wallets engaged in illegal operations.

The suspicious IBAN number is linked to the following four non-custodial wallet address

1	TJxBDgdAmD1NPy6ih4E6RBM4YQWZRACakZ
2	TUQbf1PgWvxKethbrYLFY842UL6Z41RiKC
3	TPbRDKYYi5qT3Ayutw6NV31bvNX9zGivZx
4	TA2G85LLXqtbcmwwZUKn4gDdQ9EkoHRp8V

Objective:

1. **Identify the suspects:** Uncover individuals or entities operating an illegal website, using cryptocurrencies, particularly USDT, as a medium of exchange.
2. **Identify the victims:** Determine the victims involved in or affected by these transactions.
3. **Understand the criminal structure:** Deconstruct the operational framework of the criminal enterprise and provide actionable intelligence to law enforcement agencies.

Tools and Technologies Used:

- **Debank and Mistrack:** For real-time monitoring and analysis of crypto wallets and their transaction histories.
- **OKLink:** To extract and visualize complex transactional chains across multiple blockchain networks.
- **Wayback Machine:** To retrieve historical data related to suspicious websites and their associated wallet addresses.
- **Arkham Intelligence:** Provides a visual representation of transactions between multiple wallets, helping to uncover relationships and track large transfers. Free access available.
- **BitQuery:** Visualizes the flow of funds for individual wallets, creating detailed graphics of money movement across the blockchain.

Investigative Process:

1. **Initial Flag and Analysis:**
 - The investigation commenced upon noticing repeated transaction declines from a particular IBAN, converted into crypto transactions. This wallet was soon flagged as suspicious in Debank, prompting a detailed scrutiny.
2. **Deep Dive into Transactional Data:**
 - Using Mistrack, our team mapped out the cash flow originating from the suspicious wallets. We analyzed transaction metadata such as frequency, amounts, durations, and recipient addresses to identify patterns and potential final beneficiaries.
3. **Historical Data Retrieval:**
 - The Wayback Machine proved invaluable in unearthing past versions of websites linked to the suspicious wallets. This helped us connect digital identities to real-world entities and potentially illicit activities.
4. **Key Insights and Anomalies:**
 - **Origin Wallets Identification:** Focusing on the 'first wallets' that converted fiat to crypto, we leveraged the KYC data mandatory for such transactions. This step was crucial in tracing the origins of the suspicious funds.
 - **Rapid Transaction Wallets:** Wallets that frequently received and then quickly dispersed funds were tagged as high-risk. This pattern is often indicative of layering in money laundering operations.
 - **Centralized Exchange Connection:** Many suspicious transactions were traced back to wallets initially funded through centralized exchanges. This link was critical as it allowed for the identification of individuals via KYC information held by these exchanges.

Outcomes and Recommendations:

The findings from this investigation have been meticulously compiled and forwarded to law enforcement agencies. Our report highlights the dual nature of blockchain technology—not just as a tool that could potentially be misused for financial crimes but more importantly, as a robust mechanism to aid in criminal investigations:

- **Enhanced Monitoring Protocols:** We recommend that financial institutions integrate advanced blockchain monitoring tools to detect and prevent illicit activities.
- **Collaboration with Crypto Exchanges:** Strengthen partnerships with crypto exchanges to ensure seamless access to KYC and transaction data when required by law enforcement.
- **Public Awareness Campaigns:** Conduct educational campaigns to highlight the transparency and traceability of blockchain transactions, dispelling myths about its propensity for misuse.

Key Wallets and Transaction Volumes:

- **Four primary wallets** were identified as central to the financial operations
 1. TJxBDgdAmD1NPy6ih4E6RBM4YQWZRACakZ
 2. TUQbf1PgWvxKethbrYLFY842UL6Z41RiKC
 3. TPbRDKYYi5qT3Ayutw6NV31bvNX9zGivZx
 4. TA2G85LLXqtbcmwwZUKn4gDdQ9EkoHRp8V

These wallets managed significant amounts of funds, with transactions typically ranging from **75,000 to 406,000 USDT**, reflecting substantial financial operations over the period from late 2021 to early 2024.

Fund Flows and Connections:

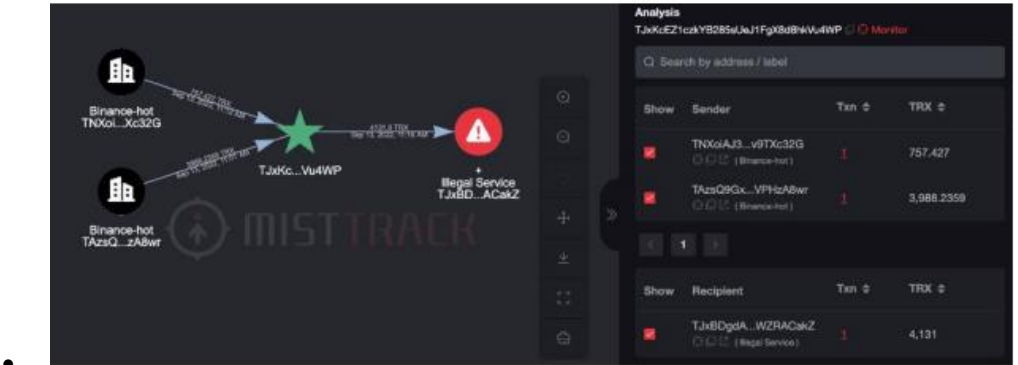
- The fund flow analysis revealed a **complex network of transactions** between the identified wallets and other external wallets, many of which are associated with major cryptocurrency exchanges. This suggests that the platform's operations were integrated with broader cryptocurrency markets, possibly for liquidity and masking the origins of funds.
- Notably, **wallets 1 and 2** had the highest transaction volumes, with continuous activity throughout their operational periods, indicating their pivotal role in the financial infrastructure of 'Creative Room'.

前兩層錢包	前一層錢包	追查起點錢包	後一層錢包	後兩層錢包	後三層錢包
TV6MuMXfm LbBqPZvBHd wFsDnQeVfn miuSi TAzsQ9Gx8e qFNFSKbeXr bi45CuVPHz A8wr TNXoiAJ3dct 8Fjg4M9fkLF h9S2v9TXc3	TMv9PwYkekU eSXwKR5Vpek 4uGcAkGMaaU g (快進快出) TBZk1DeS7bcQ LHonnJ2RDoT Gcg4EhmyJiJ TTw1W7dLqMP S4vdGEnN4QL	TJxBDgdAmD 1NPy6ih4E6R BM4YQWZRA CakZ	TDNEYoTJvnq tKBoSK8Y4PH RQRdzzN4h37 q TXbCN5sCFA KGMcbDLxjJ NR3SLoxjbxvK kr TCmDzqWH3 WgygjzrDHEh7	TMEKDPNb9D 7AyZcfKsZEsb QCz6sipGQB WD TXCNbqsX3D 3bBLAUiARA aFKbT9Yt28N J4q (主要流入) TUktHmrhyZu p7P4ijCVQS6u	TJXSFyP1CsH xN4oEjG2QG NFT3DWWuo S4C4 TPbryHmoicLk 433r54ocU3uA C2UsNxPWty TF3JhyvdKuh5 LJoakEw7Ewh

Hierarchy of the wallets; tracing the 2 layers before and after to derive the CEX address

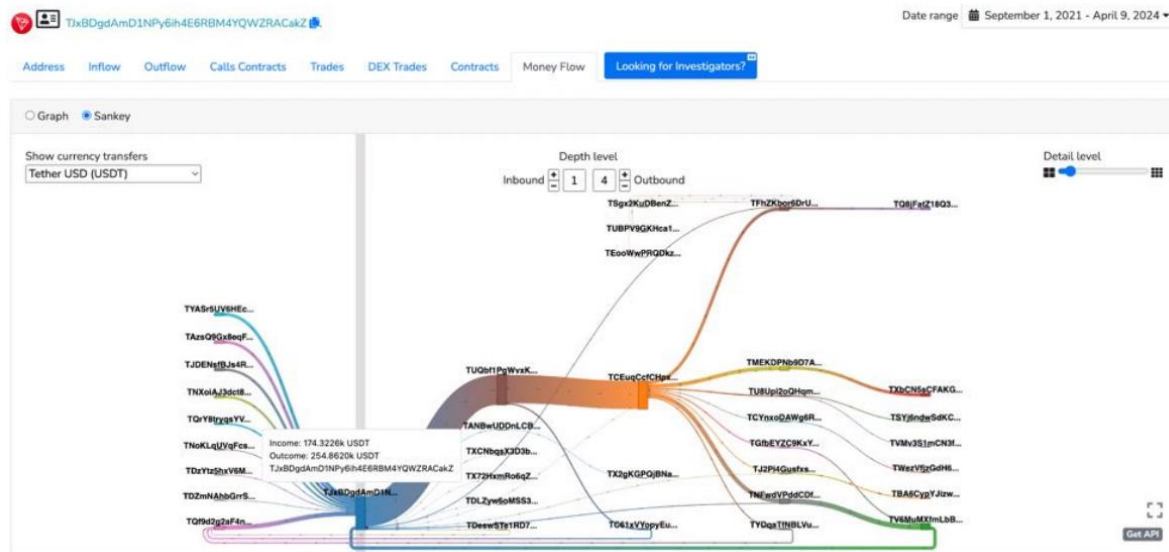
Quantitative Data Insights:

- A detailed breakdown of transactions shows that these wallets frequently engaged in both receipt and dispatch of similar amounts, suggesting a **cyclical pattern of money collection and redistribution**. This pattern is typical of platforms maintaining ongoing operations and vendor or membership payouts.
- Evidence from blockchain analysis tools like **Misttrack and Arkham Intelligence** helped trace the origins and destinations of funds, linking some transactions directly to known exchange wallets. This connection provides potential leads for legal action, as exchanges store KYC information that can de-anonymize wallet owners.



One of the wallets with Mistrack to visualize the connection

TJxBDgdAmD1NPy6ih4E6RBM4YQWZRACakZ



The very first wallet receive the gas from CEX, Police can get the real ID by checking the CEX KYC

Regulatory and Legal Implications:

- The investigation's findings underscore the need for stricter regulatory oversight and compliance checks by cryptocurrency exchanges. By allowing the traceability of potentially illicit funds through their systems, exchanges could play a crucial role in curbing illegal activities associated with platforms like 'Creative Room'.
- The data-driven approach provides a factual basis for potential legal actions by highlighting specific transactions and wallets that may be directly involved in criminal activities, offering a starting point for law enforcement to pursue further investigations and prosecutions.

Conclusion:

This investigation underscores the effectiveness of blockchain technology in tracing and identifying criminal activities. The transparent and immutable nature of blockchain has provided our team with the means to track down suspects and understand the complexities of their operations, thereby aiding in the potential rescue of victims and the formulation of stronger regulatory and monitoring frameworks. Through diligent analysis and the strategic use of technology, blockchain is proving to be an invaluable asset in the fight against crime.

*Note: can't provide too much information (such as IBAN; CEX wallets and the whole structure) regarding to the unpublic authority investigation

Appendex:

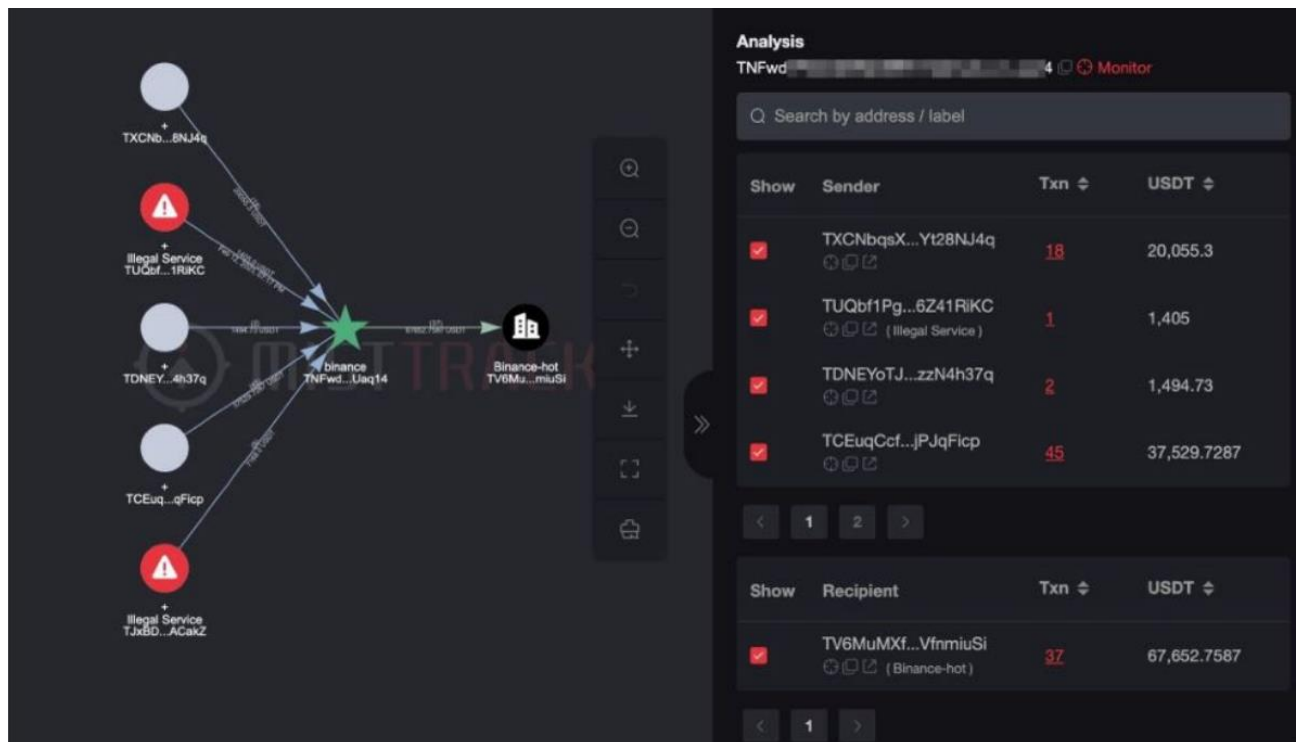
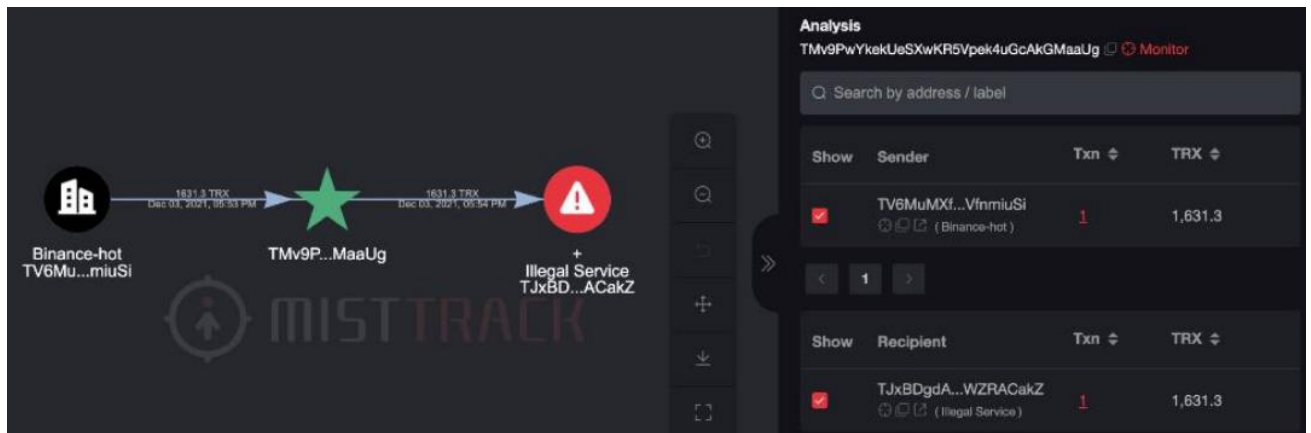
Wayback Machine + OK Link : Get the self- custodial wallet of the suspects.

Wallet Details

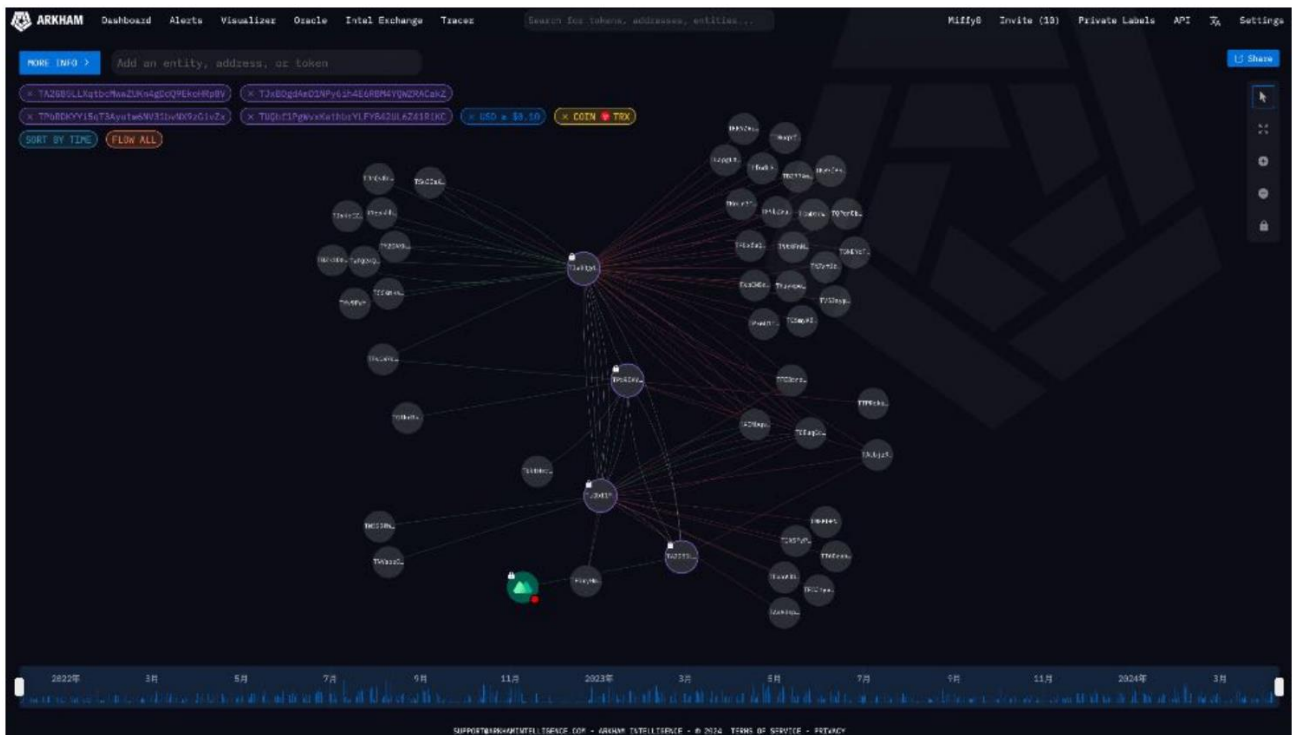
- **Wallet Address 1 (TJxBDgdAmD1NPy6ih4E6RBM4YQWZRACakZ):**
 - **Active Period:** November 30, 2021, to March 31, 2024
 - **Total Received:** Approximately 263,000 USDT
 - **Total Sent:** Approximately 263,000 USDT
- **Wallet Address 2 (TUQbf1PgWvxKethbrYLFY842UL6Z41RiKC):**
 - **Active Period:** January 22, 2022, to March 12, 2024
 - **Total Received:** Approximately 406,000 USDT
 - **Total Sent:** Approximately 406,000 USDT
- **Wallet Address 3 (TPbRDKYYi5qT3Ayutw6NV31bvNX9zGivZx):**
 - **Active Period:** December 22, 2022, to October 13, 2023
 - **Total Received:** Approximately 152,000 USDT
 - **Total Sent:** Approximately 152,000 USDT
- **Wallet Address 4 (TA2G85LLXqtbcMwwZUKn4gDdQ9EkoHRp8V):**
 - **Active Period:** February 3, 2024, to April 10, 2024
 - **Total Received:** Approximately 75,000 USDT
 - **Total Sent:** Approximately 73,000 USDT

前兩層錢包	前一層錢包	追查起點錢包	後一層錢包	後兩層錢包	後三層錢包
2G TJDENsfBjs 4RFETt1X1 W8wMDc8M 5XnJhCe (Binance 熱錢包)	dy9NfiQ8hvV3		3LsF54X8vPHiR	yNK97TQi4V	qC35PGCJaMq
	TY2SAXk85jbMmtzCKUwefDBSPi3U7FsD28		TCmDzqWH3KwygjzrDHEh73LsF54X8vPHiR	TAUbjr937qrJCx25EaspM1qPFS2PZNYVG2	
	TJxKcEZ1czkYB285sUeJ1FgX8d8hkVu4WP (快進快出) (主要來源)		TV5JaypjEA9BDKtcSXjvFwBdzwfzW9A1nR		TA2G85LLXqtbcMwwZUKn4gDdQ9EkoHRp8V
	TJnQv8rYMKTZEXzb8QgjTsGn9BRm2SPgjm (快進快出)		TQPqnCb9pXbGchDMDNvHcsuYLWJfzGEeDL		
TTdR4ERhB Bbt6Bci9YZR Ta4oHxFC41 GGEp	TCCkMhahGtdQ5Cg6FgADrqqbqbqQHMINKJX		TLappLXGHH4gKZrgEk9SrvXMPUWnsWK91j		
	TSu33aKjePQUQc6FbYfGe4buUCDzQaK5g6		TUQbf1PgWvxKethbrYLFY842UL6Z41RiKC		
	TWFQ24Q1ukqMuDYvQgCbmaFF6sE2mC3sZC		TCEuqCcfCHpxpWeusVSHzroRYPJPJqFicp (主要流入)		
			TPbRDKYYi5qT3Ayutw6NV31bvNX9zGivZx		

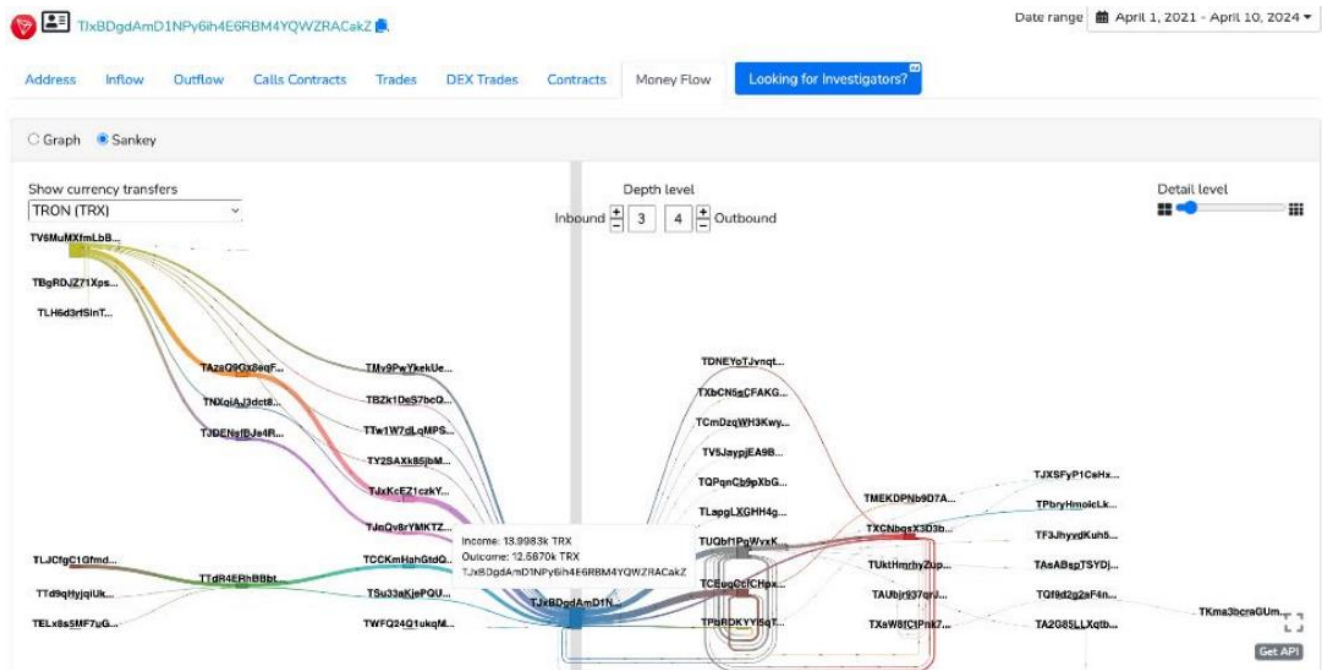
Hierarchy of the wallets; tracing the 2 layers before and after to derive the CEX address



Source: MistTrack



Source: Arkham



Source: Bitquery